ICICI Bank Limited
Equity Research & Valuation Project

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Base case: INR 1,588 target price vs INR 1,418 reference price, implying approximately 12.0% upside. The base case uses 2.60x FY27E ABV plus INR 250/share for subsidiaries. These are independent student assumptions.

1. Investment Thesis

ICICI Bank combines strong loan growth, a large and diversified deposit franchise, stable margins, high profitability and controlled asset quality. The key positive is the bank's ability to grow while maintaining a relatively low net NPA ratio. The main valuation risk is that the stock already commands a premium multiple, so future returns depend on sustained ROE and earnings growth.

2. Latest Operating Snapshot

Metric	Q1 FY27 / FY25	Interpretation
Loan growth	19.6% YoY	Strong credit expansion
Deposit growth	14.0% YoY	Healthy funding growth
NIM	4.36%	Broadly stable margin
GNPA	1.38%	Controlled gross stress
NNPA	0.35%	Low net stressed assets
CET-1	16.19%	Strong capital buffer
FY25 ROA	2.4%	High profitability
FY25 ROE	18.0%	Strong shareholder returns

3. Financial Outlook

The forecast framework follows the reference report's banking KPIs but is presented as a student model. NII is projected to rise from INR 876.4bn in FY26E to INR 1,020.2bn in FY27E and INR 1,210.4bn in FY28E. PAT is projected from INR 496.5bn to INR 569.5bn and INR 668.0bn. The model assumes NIM stabilisation around 4.4% and ROE around 16% as the bank scales.

Metric	FY25A	FY26E	FY27E	FY28E
NII (INR bn)	811.6	876.4	1020.2	1210.4
PAT (INR bn)	472.3	496.5	569.5	668.0
NIM	4.50%	4.30%	4.40%	4.40%
ROA	2.40%	2.20%	2.30%	2.30%
ROE	18.0%	16.1%	16.1%	16.3%
ABV/share (INR)	373.4	444.1	514.5	598.2
Book Value/share (INR)	407.2	464.5	534.7	618.5

4. Valuation Methodology

For banks, P/ABV is a useful valuation method because book value and asset quality are central to the economics of the business. This model values the core bank using a P/ABV multiple and then adds a per-share value for subsidiaries. The reference broker report uses 2.7x Sep-2027 ABV plus INR 263/share for subsidiaries; this project deliberately uses different assumptions to create an independent student case.

Scenario	P/ABV	Subsidiary INR/share	Target INR	Upside
Bear	2.25x	200	1,358	-4.2%
Base	2.60x	250	1,588	12.0%

Bull	2.85x	275	1,741	22.8%

5. Catalysts

• Continued loan growth, particularly in business banking and secured retail.
• Deposit growth keeping pace with credit demand.
• Stable/recovering NIM as funding costs and repricing normalise.
• Continued digital adoption improving customer acquisition, operating efficiency and fee income.
• Strong capitalisation supporting future balance-sheet growth.

6. Risks

• Faster-than-expected margin compression from deposit costs or rate transmission.
• Asset-quality deterioration if unsecured or corporate credit stress increases.
• Slower deposit growth.
• Premium valuation multiple compression if ROE falls below expectations.
• Regulatory or capital-related changes.

7. Why P/ABV Rather Than a Generic DCF?

A bank's balance sheet is its operating engine: deposits fund loans and securities, and credit losses directly affect book value. Traditional enterprise-value DCF methods are therefore less intuitive for banks. P/ABV links valuation to the capital actually deployed and adjusts for expected credit losses through adjusted book value.

8. Sources & Disclosure

Primary current operating data: ICICI Bank official Q1 FY2027 Performance Review. Reference methodology and forecast framework: Motilal Oswal ICICI Bank report dated 4 February 2026. Market reference price: INR 1,418 closing price on 14 August 2026. Forecasts and valuation assumptions are analytical assumptions for an academic project and are not investment advice.